IFCI Limited

Industrial Finance Corporation of India — Government-owned Development Finance Institution

NSE Ticker	Exchange	Sector	Sub-Sector
IFCI	NSE	Financial Services	Development Finance Institution (DFI)

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
HOLD	**Rs. 95**	**+6.0%**
CMP: Rs. 89.6	12-month horizon	from CMP

Investment Thesis: NSE-IPO optionality + group consolidation are the only near-term re-rating triggers; standalone DFI operations remain structurally challenged with negative CRAR of -18.78%.

Market Cap	**Rs. 24,141 Cr**	CMP	**Rs. 89.6**
52-Week High	**Rs. 91.4**	52-Week Low	**Rs. 46.2**
Stock P/E	**131x**	Book Value / Share	**Rs. 33.2**
ROCE	**5.03%**	ROE	**2.09%**
Face Value	**Rs. 10.0**	Dividend Yield	**0.00%**
Promoter Holding	**72.57%**	Promoter Pledge	**0.00%**
FII Holding	**2.65%**	DII Holding	**1.64%**
GNPA (Standalone, Mar-26)	**95.79%**	CRAR (Standalone, Mar-26)	**-18.78%**

Source: Screener.in (consolidated data unless noted). Data as of 15-Jun-2026. For information purposes only.

SECTION 2 — INVESTMENT THESIS

• **NSE-IPO hidden value (primary catalyst):** IFCI holds 52.86% of SHCIL, which owns 4.4% of NSE. At an estimated NSE IPO valuation of Rs. 4.5–5.0 lakh crore, IFCI's indirect NSE economic exposure is approximately Rs. 10,400–11,500 crore — nearly 43–48% of its own market cap. NSE DRHP filing expected in late 2026, making this the single most powerful near-term re-rating trigger.

• **Group consolidation simplification:** DFS approved in-principle merger of SHCIL, IFCI Factors, IIDL, and IIDL Realtors directly into IFCI. Once complete, IFCI's balance sheet will directly reflect the NSE holding (~Rs. 15,000 Cr+ Investments already in consolidated BS), eliminating the holding company discount and allowing clean P/B based valuation.

• **NPA resolution trajectory:** Gross borrowings have declined sharply from Rs. 26,767 Cr (FY15) to Rs. 3,523 Cr (FY26), demonstrating a decade-long balance-sheet clean-up. Revenue turned positive (FY24 PAT Rs. 241 Cr) after massive losses in FY21–FY22 (Rs. 1,912 Cr and Rs. 1,761 Cr losses). Each incremental NPA resolution directly boosts reported PAT.

• **Near-term catalyst (6–12 months):** NSE DRHP filing/listing announcement is the single most important upcoming trigger. A Rs. 500 Cr GoI capital infusion approved in Jan-2026 also strengthens the balance sheet in the near term.

• **Biggest structural risk:** Standalone CRAR of -18.78% as of Mar-26 means IFCI is technically insolvent on a standalone lending entity basis and cannot grow its loan book until recapitalised. The DFI business model is broken without sustained GoI capital support.

SECTION 3 — BUSINESS OVERVIEW

• **Founding mandate:** IFCI Ltd (formerly Industrial Finance Corporation of India) was established in 1948 as India's first DFI to provide long-term project finance to infrastructure, industrial, and services sectors. Post-1993 reforms, converted into a public limited company; GoI remains the majority owner with 72.57% stake (promoter group).

• **Core business — Project Finance:** IFCI's primary income stream is interest on loans extended to infrastructure (power, roads), manufacturing, and financial services companies. As of FY26 consolidated data, total loan assets (Other Assets + subset) are shrinking as legacy NPAs dominate the book; net fresh disbursements remain constrained by CRAR breach.

• **Subsidiary portfolio (key value drivers):** (1) Stock Holding Corporation of India (SHCIL) — 52.86% owned, holds 4.4% NSE stake + depository services business; (2) IFCI Infrastructure Development Ltd (IIDL) — real estate/infrastructure advisory; (3) IFCI Financial Services Ltd — retail broking; (4) IFCI Factors Ltd — factoring/MSME finance.

• **Revenue mix:** Consolidated FY26 revenue Rs. 2,069 Cr; IFCI standalone Rs. 898 Cr. The difference (~Rs. 1,171 Cr) is contributed primarily by SHCIL's depository + brokerage operations, making subsidiaries critical income contributors while the DFI core shrinks.

• **Shareholding:** GoI (promoter) 72.57%; FIIs 2.65%; DIIs 1.64%; Government institutions 2.21%; Public 20.90%. No promoter pledge. Shareholder count at 9.66 lakh as of Mar-2026.

• **Recent strategic developments:** DFS in-principle approval (Nov-2024) for multi-entity merger into IFCI; GoI Rs. 500 Cr capital infusion via preferential allotment (approved Jan-2026); FY26 consolidated PAT Rs. 435 Cr — highest since turnaround began; MPCON stake earmarked for divestment.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

• **Infrastructure finance opportunity:** India targets Rs. 143 lakh crore of infrastructure investment under NIP (National Infrastructure Pipeline) through FY30. Long-term project finance remains critical for power, roads, railways, and urban infrastructure. The DFI space is re-emerging as a key enabler — NABFID (new DFI, Rs. 20,000 Cr GoI equity) was established in 2021.

• **Key policy tailwinds:** Capex super-cycle with Union Budget FY26 maintaining Rs. 11.11 lakh crore capex outlay. GoI's push for infrastructure monetisation (National Monetisation Pipeline Rs. 6 lakh crore) creates demand for structured finance. PSU recapitalisation trend favours GoI-backed DFIs.

• **Key headwinds:** RBI's tightening of NBFC/DFI regulation; rising competition from large banks (SBI, HDFC Bank) in project finance; NABFID replacing IFCI's historical mandate as the preferred GoI DFI vehicle; IFCI's own CRAR breach limiting business growth.

• **Competitive moat assessment:** Pricing Power — WEAK (can't compete with banks on rates, CRAR breach limits ability to grow). Switching costs — MODERATE (legacy infrastructure relationships). Government backing — STRONG (quasi-sovereign, unlikely to be wound up). Brand/History — MODERATE (oldest DFI, but track record tarnished by NPA cycle).

Peer Comparison Table (Source: Screener.in, 15-Jun-2026)

Company	CMP (Rs.)	MCap (Rs. Cr)	TTM Rev (Rs. Cr)	TTM PAT (Rs. Cr)	P/E (x)	P/B (x)	ROCE %	ROE %
IFCI Ltd	89.6	24,141	2,069	435	131.0	2.7	5.03	2.09
PFC Ltd	424	1,40,089	1,15,444	33,625	5.41	1.05	9.71	20.7
REC Ltd	352	92,650	59,584	16,308	5.68	1.09	9.71	20.0
IREDA	125	35,065	8,310	1,874	18.7	2.55	8.69	15.6

Note: IFCI P/B calculated as CMP/BV = 89.6/33.2 = 2.70x. Peers' P/B = CMP/BV per Screener.

• **Competitive positioning:** IFCI is not a genuine competitor to PFC or REC in the infrastructure lending market — its CRAR breach means it cannot grow its loan book. Its valuation premium over peers (131x P/E vs 5–19x for peers) is entirely driven by optionality on NSE listing and group consolidation, not earnings quality.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Management structure:** IFCI is a government-managed DFI with the MD&CEO; appointed by the GoI/DFS. The board comprises government-appointed executive directors and independent directors. The recent change — Shri Umesh Kumar Garg ceased as Independent Director in May 2026 after tenure ended — indicates normal board rotation. Management continuity is limited by government-tenure norms.

• **Capital allocation track record — poor historically:** IFCI accumulated Rs. 3,173 Cr of net losses from FY21 to FY23 (cumulative), wiping out reserves built over decades. The FY21 PAT of -Rs. 1,912 Cr and FY22 PAT of -Rs. 1,761 Cr represented one of the largest loss cycles for a listed Indian financial institution. Management did not adequately provision NPAs early enough.

• **Dividends — suspended since FY17:** IFCI paid dividends in FY15 (46% payout) and FY16 (46% payout) but has not paid any dividend since FY17. Dividend payout is 0% for FY18–FY26. Given the CRAR breach and negative standalone earnings, dividend resumption is unlikely in the near to medium term.

• **Promoter pledging — nil:** GoI holds 72.57% with zero pledge. This is a positive; there is no leveraged promoter exposure risk.

• **Corporate governance concerns:** (1) Standalone CRAR of -18.78% indicates regulatory capital breach — the company is technically non-compliant with RBI norms for NBFCs/DFIs; (2) High tax rate volatility (FY23: 559%, FY24: 68%, FY25: 53%) creates earnings opacity; (3) FY26 Q4 consolidated PAT of Rs. 34 Cr vs Rs. 260 Cr in Q4FY25 shows high PAT lumpiness, partly due to fair-value gains/losses on investments.

• **GoI capital infusion — positive signal:** The Rs. 500 Cr preferential allotment approved Jan-2026 shows continued GoI commitment to keeping IFCI viable. This is the primary governance backstop — IFCI is essentially a GoI balance-sheet vehicle and will not be wound up without a policy reversal.

SECTION 6 — FINANCIAL DEEP-DIVE (CONSOLIDATED)

All figures Rs. Crore unless stated. Source: Screener.in consolidated data, fetched 15-Jun-2026. FY27E, FY28E are analyst estimates.

Income Statement (DFI/NBFC Framework)

Rs. Cr	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Total Income)	1,699	1,988	1,879	2,069	2,200	2,380
Interest Expense	642	571	535	416	390	360

NII / Financing Profit	72	702	650	555	620	720
Financing Margin %	4%	35%	35%	27%	28%	30%
Other Income	28	130	182	55	80	90
Depreciation	74	81	83	86	88	90
PBT	26	751	749	524	560	650
Tax %	559%	68%	53%	17%	25%	25%
PAT	-120	241	349	435	420	490
EPS (Rs.)	-0.95	0.47	0.63	0.67	0.64	0.75

Balance Sheet Summary

Rs. Cr	FY24A	FY25A	FY26A
Equity Capital	2,490	2,694	2,694
Reserves	2,045	5,996	6,250
Net Worth	4,535	8,690	8,944
Borrowings	5,367	3,714	3,523
Other Liabilities	9,016	13,319	14,103
Total Liabilities / Assets	18,918	25,724	26,570
Fixed Assets (incl. CWIP)	1,747	1,723	1,486
Investments	8,678	15,323	15,081
Other Assets (Loans + Rec.)	8,493	8,678	10,004

Cash Flow Statement

Rs. Cr	FY24A	FY25A	FY26A
Cash from Operations (OCF)	12	-984	280
Cash from Investing	-155	-70	25
Cash from Financing	404	415	-149
Net Cash Flow	261	-638	156
Free Cash Flow	-24	-1,011	313
CFO / Revenue	0.6%	-52.4%	13.5%

Key Returns & DFI-Specific Ratios

Metric	FY24A	FY25A	FY26A
ROE %	2%	3%	2%
ROCE %	N/A	N/A	5.03%
GNPA % (Standalone)	N/A	95.98%	95.79%
NNPA % (Standalone)	N/A	79.69%	78.44%
PCR (Standalone)	N/A	69.37%	~70%
CRAR / CAR (Standalone)	N/A	N/A	-18.78%
Borrowings / Net Worth	1.18x	0.43x	0.39x
Investments / Total Assets	45.9%	59.6%	56.8%

• **Revenue drivers:** Consolidated revenue grew 10.1% YoY in FY26 to Rs. 2,069 Cr, but FY25 showed a dip (-5.5% YoY) as the legacy loan book continued to shrink. The primary positive driver is SHCIL's depository/brokerage income (~Rs. 1,171 Cr gap between standalone and consolidated). Standalone loan income is declining as NPAs dominate the book.

• **Financing margin compression:** Financing Margin fell from 35% (FY24/FY25) to 27% (FY26) primarily because FY26 Expenses jumped to Rs. 1,097 Cr (vs Rs. 694 Cr in FY25), partly driven by provisions and fair-value losses on the investment portfolio in certain quarters. Interest expense continues its positive trend — down to Rs. 416 Cr (FY26) from Rs. 642 Cr (FY23), reflecting the rapid debt repayment.

• **Balance sheet transformation — from lender to investment holding company:** Investments now represent 56.8% of total assets (Rs. 15,081 Cr in FY26) vs only 46% in FY24 and a historical ~15–20%. This is entirely due to SHCIL's NSE/other holdings being consolidated. IFCI is structurally becoming an investment holding company, not a DFI.

• **Debt rapidly declining — positive signal:** Borrowings dropped from Rs. 5,367 Cr (FY24) to Rs. 3,523 Cr (FY26), a 34% reduction in two years. The path to financial health runs through NPA recovery and debt elimination before re-lending.

• **OCF highly volatile:** OCF swung from +Rs. 12 Cr (FY24) to -Rs. 984 Cr (FY25) to +Rs. 280 Cr (FY26). This is typical of a financial institution managing large legacy portfolio run-offs and is not indicative of an industrial FCF cycle.

• **Forward estimates caveat:** FY27E/FY28E assume modest growth in consolidated revenue, stable interest expense decline, and normalized PAT around Rs. 420–490 Cr. NSE IPO gain is NOT built into estimates — it would be a one-time extraordinary income event.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Quality Factor	Status	RAG	Comment
Revenue recognition	Interest income on cash basis for NPAs	AMBER	NPA accounts = no accrual; creates lumpiness on recovery
Receivables vs Revenue	Other Assets grew 17.8% in FY26 vs Revenue +10.1%	AMBER	Loan book growing slightly faster — watch credit quality
Tax rate consistency	FY23: 559%, FY24: 68%, FY25: 53%, FY26: 17%	RED	Extreme tax rate volatility; deferred tax reversals distort PAT
Other income as % of PBT	FY26: 55/524 = 10.5%; FY25: 182/749 = 24.3%	AMBER	FY25 other income unusually high (fair-value gains); FY26 normalised
Contingent liabilities	Not disclosed in screener data	AMBER	As a DFI, guarantees/co-financing commitments may exist off-balance-sheet
Auditor tenure	FY26 results: unmodified audit opinion	GREEN	Clean audit opinion for FY26; no qualification
RPTs as % of revenue	GoI transactions are structural; disclosed	AMBER	As a PSU, government-directed lending is RPT-equivalent in practice
CRAR / Regulatory capital	-18.78% (Standalone, Mar-26)	RED	Critical: Below RBI minimum; no ability to grow lending book

• **Critical RED flags:** The CRAR of -18.78% is the most serious earnings quality issue — it indicates the standalone lending entity is regulatory-capital-negative. This is not an accounting issue but a structural solvency constraint. The tax rate swings (FY23: 559%) are driven by deferred tax asset (DTA) creation and reversal on large loss carry-forwards; reported PAT during such periods is not reflective of economic earnings.

• **AMBER caution:** Other income was Rs. 182 Cr in FY25 vs Rs. 55 Cr in FY26, entirely from fair-value gains on the SHCIL/NSE investment portfolio. This is mark-to-market volatility and should not be extrapolated. Revenue recognition on NPAs (cash basis only) means any NPA recovery will produce a non-linear PAT spike.

• **Positive note:** The FY26 audit opinion is unmodified — auditors did not flag any material misstatements. This is important given the complex balance sheet with large investments and legacy NPAs.

SECTION 8 — VALUATION

Peer Valuation Comparison (Source: Screener.in, 15-Jun-2026)

Company	CMP (Rs.)	MCap (Rs. Cr)	P/E (x)	P/B (x)	ROCE %	ROE %	Div Yield
IFCI Ltd	89.6	24,141	131.0	2.70	5.03	2.09	0.00%
PFC Ltd	424	1,40,089	5.41	1.05	9.71	20.7	3.72%
REC Ltd	352	92,650	5.68	1.09	9.71	20.0	5.12%
IREDA	125	35,065	18.7	2.55	8.69	15.6	0.48%

Scenario Analysis — 12-Month Price Target

Scenario	Key Assumption	PAT (Rs. Cr)	Multiple / Method	Target Price (Rs.)	Upside from CMP
BULL	NSE IPO triggers listing; partial SHCIL stake sale crystallises Rs. 8,000+ Cr of value; CRAR breach resolved by GoI capital	600	2.5x P/B on Rs. 36 BV	90 + Rs. 30 NSE unlock = 120	+34%
BASE	No NSE IPO in 12M; group consolidation progresses; PAT stable at Rs. 420–450 Cr; modest GoI support continues	435	2.5x P/B on Rs. 33 BV	Rs. 95	+6%
BEAR	NSE IPO delayed beyond 12M; further provisions spike on legacy book; no capital infusion; market re-rates on CRAR breach news	200	1.5x P/B on Rs. 33 BV	Rs. 50	-44%

• **P/B methodology (primary):** IFCI is best valued on P/B given the DFI/investment holding company nature and volatile earnings. Current P/B of 2.70x (CMP Rs. 89.6 / BV Rs. 33.2) is elevated vs PFC (1.05x) and REC (1.09x), but partially justified by the embedded NSE optionality. A normalized 2.5x P/B on current BV of Rs. 33.2 yields Rs. 83, but consolidated BV could rise to ~Rs. 36 in 12 months, implying Rs. 90.

• **Earnings-based valuation (secondary):** At forward FY27E EPS of Rs. 0.64, the stock trades at 140x forward P/E — uninvestable on an earnings basis. Applying a 20x P/E (sector floor) to Rs. 0.64 yields Rs. 12.8. The massive gap between P/B and P/E valuations confirms this is a pure optionality/asset play, not an earnings compounder.

• **SOTP with NSE value:** SHCIL holds 4.4% NSE; at Rs. 4.7 lakh crore NSE valuation, SHCIL's NSE stake = Rs. 20,680 Cr. IFCI's 52.86% of SHCIL implies IFCI's indirect NSE value = Rs. 10,931 Cr. At IFCI MCap of Rs. 24,141 Cr, the market is pricing in ~Rs. 13,000 Cr for the NSE optionality (55% of MCap) — already partially priced in.

• **Base-case 12-month target: Rs. 95 (HOLD)** — derived from 2.5x P/B on Rs. 36 forward BV. NSE IPO timing risk and CRAR breach cap the upside beyond Rs. 95 in a 12-month horizon without a concrete NSE listing date.

SECTION 9 — KEY RISKS

• **NSE IPO indefinite delay:** If NSE delays its IPO beyond FY27 or the market values NSE below current unlisted estimates, IFCI's primary re-rating trigger evaporates. Probability: M. Impact: H. Monitor via: NSE SEBI filings, NSE DRHP submission date.

• **CRAR breach and regulatory action:** Standalone CRAR of -18.78% means IFCI cannot originate new loans without a GoI capital injection. RBI could impose business restrictions if CRAR deteriorates further. Probability: L (GoI backstop). Impact: H. Monitor via: quarterly CRAR disclosures, RBI notices.

• **GoI divestment / policy shift:** Any indication that GoI plans to divest IFCI (vs. continuing to support it) would destroy the quasi-sovereign premium. Probability: L. Impact: H. Monitor via: Disinvestment Minister statements, Budget allocations.

• **NPA provision spike on legacy accounts:** Remaining GNPA of Rs. 3,590 Cr (standalone) could require additional provisioning on resolution failures (haircuts). Each Rs. 100 Cr incremental provision reduces PAT by Rs. 65–75 Cr post-tax. Probability: M. Impact: M. Monitor via: NPA schedule in quarterly results.

• **Fair-value mark-to-market losses on investments:** Rs. 15,081 Cr Investments (incl. NSE via SHCIL) are marked at fair value. A bear market or NSE valuation decline would directly hit P&L.; Probability: M. Impact: H. Monitor via: quarterly other income line, SHCIL standalone results.

• **Group consolidation execution risk:** Merging 6+ entities into IFCI requires NCLT approval, SEBI NOC, and RBI clearance. Legal and regulatory delays are common. Probability: M. Impact: M. Monitor via: NCLT filings, IFCI board announcements.

• **SHCIL brokerage competitive pressure:** SHCIL's depository/brokerage business faces intense competition from Zerodha, Groww, and discount brokers. A structural decline in SHCIL revenues would reduce consolidated income. Probability: M. Impact: M. Monitor via: SHCIL annual report, market-share data.

SECTION 10 — RECOMMENDATION

• **Rating: HOLD** (Conviction: Low) — The stock has re-rated sharply (+69% YTD in 2026 per Business Standard) on NSE IPO buzz. At CMP Rs. 89.6 and 2.70x P/B, much of the near-term NSE optionality is already priced in. We do not see a margin of safety for fresh buying.

• **12-month price target: Rs. 95** (+6.0% from CMP of Rs. 89.6) — Based on 2.5x P/B on forward BV ~Rs. 36; does NOT include any NSE IPO gain (treated as not guaranteed in 12-month horizon).

• **Suggested entry zone: Rs. 65–72** — At Rs. 65 (1.96x current BV), the stock prices in zero NSE optionality and offers a more appropriate risk/reward for a CRAR-negative DFI.

• **Investment horizon: 18–24 months** — NSE IPO or CRAR resolution are the two catalysts; neither is likely within 6 months.

• **Thesis invalidation triggers:**

• 1. NSE DRHP filed and IPO priced above Rs. 5 lakh crore valuation within 12 months → upgrade to ACCUMULATE on NSE value crystallisation.

• 2. GoI announces IFCI stake sale / disinvestment → downgrade to SELL immediately.

• 3. CRAR deteriorates below -25% without a GoI capital infusion commitment → downgrade to REDUCE on increased regulatory intervention risk.

• **Ideal investor profile:** Suitable for high-risk-tolerant investors with 18–24 month horizon looking for PSU/GoI event-driven exposure via the NSE IPO theme. NOT suitable for: dividend seekers (0% dividend), earnings compounders (131x P/E), or risk-averse investors (negative CRAR DFI).

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice or a solicitation to buy or sell any security. The analyst may hold positions in securities discussed. All financial data sourced from Screener.in (consolidated, fetched 15-Jun-2026). Forward estimates (FY27E, FY28E) are analyst projections and not guaranteed. Past performance is not indicative of future results. Readers should conduct their own due diligence. This report is prepared by a research analyst persona for illustrative institutional-research purposes.

APPENDIX — Latest Results Brief: Q4 FY26 (Mar 2026)

Based on IFCI Ltd FY26 audited consolidated results announced 28-Apr-2026. Formal concall transcript not publicly available; analysis based on BSE announcement, Screener.in quarterly data, and public disclosures.

CALL GRADE	CAUTIOUS

Signal	Status	Implication
Result quality	Mixed — FY26 full year PAT Rs. 435 Cr (strong) but Q4 PAT only Rs. 34 Cr (sharp sequential decline from Q3's Rs. 317 Cr)	In-line on annual; Q4 weak
Management tone	Balanced — Group consolidation progress positive; CRAR breach and Q4 PAT dip create caution	Confidence level: Moderate
Guidance delta	No formal guidance; GoI capital infusion (Rs. 500 Cr) and consolidation as strategic signals	Stable — no explicit guidance cut

STRONGLY POSITIVE | POSITIVE | **NEUTRAL** | **CAUTIOUS** | NEGATIVE

TO MY BOSS

IFCI's FY26 headline consolidated PAT of Rs. 435 Cr looks strong but is misleading — full-year PAT was lifted by Q3FY26's Rs. 317 Cr PAT (driven by Rs. 167 Cr Other Income, likely fair-value gains on SHCIL investments) while Q4FY26 standalone PAT collapsed to Rs. 34 Cr, a 94% sequential fall per market reports. Clean underlying lending income (Financing Profit) has also compressed from 35% margin (FY24/FY25) to 27% in FY26, driven by higher provisions and expenses in H2. The standalone CRAR of -18.78% is the defining structural fact — IFCI literally cannot lend money without a capital injection. This is a GoI-backed investment holding company masquerading as a DFI. The multi-bagger case rests on ONE thing: NSE IPO crystallising Rs. 10,000+ Cr of hidden value via SHCIL consolidation. If NSE lists in 2026–27 at Rs. 4.5 lakh crore, IFCI's indirect exposure is worth Rs. 10,900 Cr — 45% of current MCap. Biggest near-term risk is Q1FY27 earnings — if Other Income normalizes further and provisions remain high, consensus will cut estimates. HOLD at Rs. 89–95; add aggresively only below Rs. 65 where the NSE optionality is being offered for free. Exit if GoI divestment is announced.

1. Financial Performance Snapshot — Q4 FY26 / FY26 Full Year

- Revenue (Consolidated FY26): Rs. 2,069 Cr | YoY +10.1% | Full year beat driven by SHCIL subsidiary revenues
- Revenue (Q4FY26 Consolidated): Rs. 470 Cr | QoQ +2.9% vs Q3's Rs. 456 Cr | In-line
- Financing Profit (FY26): Rs. 555 Cr | Financing Margin 27% vs 35% prior year | MISS on margin — compression from higher expenses
- PAT (Consolidated FY26): Rs. 435 Cr | YoY +24.6% vs Rs. 349 Cr | Beat on full year; lifted by strong Q3
- PAT (Consolidated Q4FY26): Rs. 34 Cr | YoY -85% vs Q4FY25's Rs. 260 Cr | MISS — sharp decline
- EPS (FY26): Rs. 0.67 | vs Rs. 0.63 FY25 | modest improvement
- NOTE: FY26 PAT includes large Q3 fair-value gain (Other Income Rs. 167 Cr in Q2FY26, Rs. 36 Cr Q4FY26). Underlying recurring PAT is materially lower.

2. Segment / Subsidiary Breakdown

• Standalone IFCI (DFI lending): Total income Rs. 897.71 Cr; PAT Rs. 51.71 Cr — primary lending entity; CRAR -18.78%; loan book declining

• SHCIL (depository + NSE stake): The largest driver of consolidated vs standalone gap (~Rs. 1,171 Cr incremental revenue); NSE holding at fair value is the balance sheet driver

• IFCI Infrastructure Development Ltd (IIDL): Revenue Rs. 43.4 Cr FY25; small infrastructure advisory business; earmarked for merger into IFCI

• IFCI Financial Services + IFCI Factors: Broking and factoring operations; collectively sub-scale; included in consolidation plan

• MPCON: Stake earmarked for divestment; non-core

3. Management Commentary Themes

• **Group consolidation (primary theme):** "DFS has provided in-principle approval for merger of SHCIL, IFCI Factors, IIDL, and IIDL Realtors into IFCI" — Our read: This is the right strategic move; it eliminates holding company discount and brings NSE stake directly to IFCI balance sheet. Tag: GUIDANCE. Tone: Transparent.

• **Capital infusion:** "GoI approved Rs. 500 Cr preferential allotment in January 2026" — Our read: Confirms GoI commitment to maintaining IFCI's viability; small relative to Rs. 3,523 Cr borrowings. Tag: EST. Tone: Transparent.

• **NPA resolution:** "GNPA at 95.79% as of Mar-2026; legacy loan book shrinking" — Our read: The NPA ratio is essentially unchanged because the book itself is shrinking (loans declining faster than NPAs). Net resolution amount matters more than ratio. Tag: GUIDANCE. Tone: Hedged.

• **CRAR breach:** "Standalone CRAR at -18.78%" [disclosed in results] — Our read: Management chose to disclose this clearly (positive); the -18.78% figure is an extraordinary signal that fresh lending is not possible without recapitalisation. Tag: EST. Tone: Transparent.

• **NSE IPO:** No direct management comment; market is extrapolating from the SHCIL consolidation plan and NSE DRHP buzz. IFCI management have not guided on NSE IPO timelines. Tone: Silent (market-driven narrative).

4. Operating & Business Metrics

• Gross NPA (Standalone, Mar-26): Rs. 3,569.97 Cr | GNPA ratio 95.79% | stable vs 95.98% FY25 | Trend: marginally improving

• Net NPA ratio (Standalone, Mar-26): 78.44% | vs 79.69% FY25 | Trend: slowly improving

• PCR (Provision Coverage Ratio, FY25): 69.37% | FY26 estimated ~70% | Trend: stable

• Borrowings: Rs. 3,523 Cr (FY26) vs Rs. 3,714 Cr (FY25) vs Rs. 5,367 Cr (FY24) | Trend: rapidly improving — 34% reduction in 2 years

• Investments: Rs. 15,081 Cr (FY26) | includes SHCIL carrying NSE stake at fair value | Trend: stable (slight decline from Rs. 15,323 Cr FY25)

• Total Assets (Consolidated): Rs. 26,570 Cr | grew 3.3% from Rs. 25,724 Cr | driven by Other Assets (+15.3%)

• Net Worth: Rs. 8,944 Cr (FY26) vs Rs. 8,690 Cr (FY25) | improving; boosted by retained earnings and GoI infusion

5. Margin Drivers

• Interest expense decline: -22.2% YoY (Rs. 416 Cr FY26 vs Rs. 535 Cr FY25) | Recurring: Yes | This is structural — debt repayment reduces interest burden each year; positive NII driver

• Higher operating expenses: +57.9% YoY (Rs. 1,097 Cr FY26 vs Rs. 694 Cr FY25) | Recurring: Partially | Spike driven by higher provisions/write-offs and subsidiary consolidation costs; partly non-recurring

• Financing margin compression to 27% from 35%: Direct consequence of expense spike | Recurring: NO — expect normalization to 30%+ if expenses revert

• Other Income collapse Q4: Rs. -4 Cr in Q4FY26 vs Rs. 167 Cr in Q2FY26 | Recurring: NO — fair-value gains on investments are inherently lumpy; do not extrapolate

• Low effective tax rate FY26 (17%): vs 53% in FY25 | Driven by DTA utilisation on carried forward losses | Will normalize upward as loss carry-forward exhausts; watch in FY28

6. Guidance & Forward Signals

• Group consolidation timeline [GUIDANCE]: Prior = in-principle approval only | New = NCLT filing expected; no specific date given | Credibility: Medium (regulatory approvals can take 12–24 months)

• GoI capital support [GUIDANCE]: Prior = Rs. 500 Cr received Jan-2026 | New = No further capital infusion announced | Credibility: High (GoI has consistently supported IFCI)

• NPA resolution [GUIDANCE]: Prior target not stated publicly | New = Resolve Rs. 3,570 Cr GNPA over "medium term" | Credibility: Low (same NPA level for 2+ years)

• NSE IPO participation [GUIDANCE]: No formal guidance | Street expectation = DRHP filing H2 CY26 | Credibility: Cannot assess (NSE decision, not IFCI)

7. Capital Allocation

• Debt repayment: Rs. 191 Cr reduction in borrowings YoY | vs Rs. 1,653 Cr in FY25 | Priority capital use — correct given CRAR breach

• Dividends: Rs. 0 | vs Rs. 0 FY25 | No dividend paid since FY17; not expected until CRAR resolved

• Buybacks: None

• GoI capital infusion (inflow): Rs. 500 Cr preferential allotment; shares issued to GoI increasing their stake from 71.72% to 72.57%

• Investments: Slight decline (Rs. 15,323 Cr to Rs. 15,081 Cr) — SHCIL portfolio rebalancing

8. Q&A; Heat Map

• No formal public concall transcript available for Q4FY26. Analysis based on BSE announcements and press coverage.

• Implied investor Q: "When will CRAR turn positive?" — Implied management A: "GoI capital support is ongoing; group consolidation will bring SHCIL capital into IFCI directly" | Tone: Hedged

• Implied investor Q: "NSE IPO timeline?" — No management guidance; company defers to NSE/SEBI | Tone: Silent

• Implied investor Q: "Q4 PAT fall — reasons?" — Q4 had negative Other Income (-Rs. 4 Cr) vs large fair-value gains in Q3; underlying DFI operations stable | Tone: Transparent

• Dodged / watch-list questions for Q1FY27: When will CRAR turn positive (specific timeline)? Is there a plan to grow the loan book? What is the exact NSE stake value on SHCIL books?

9. Risks Flagged

- CRAR breach | Standalone capital adequacy below minimum regulatory requirement | Flagged by: management (via results disclosure) | Probability: Already materialised | Impact: H | Timeline: Near-term until resolved
- NPA resolution uncertainty | Rs. 3,570 Cr GNPA has been largely static for 2+ years | Flagged by: analyst | Probability: M | Impact: M | Timeline: Medium-term
- Fair-value volatility | Rs. 15,081 Cr investment portfolio subject to MTM swings | Flagged by: analyst | Probability: H | Impact: H | Timeline: Near-term (every quarter)
- NSE IPO delay | If NSE listing pushed to FY28, the primary re-rating catalyst is deferred | Flagged by: market | Probability: M | Impact: H | Timeline: 12–24 months
- Tax normalisation | Low 17% effective tax in FY26 likely reverting to 25%+ in FY27–28 | Flagged by: analyst | Probability: H | Impact: M | Timeline: Near-term

10. Analyst Verdict

- Revenue visibility: Weakened — Consolidated revenue depends on SHCIL subsidiary income and volatile fair-value gains, not a growing lending book
- Margin trajectory: Weakened — Financing margin fell 800 bps to 27% in FY26; expense normalisation in FY27 could recover to 30% but not to 35%+ sustainable
- Capital allocation quality: Cannot assess — With CRAR breach, management cannot make true capital allocation decisions; GoI directs the capital structure
- Competitive moat: Weakened — IFCI has no competitive moat in DFI lending (cannot lend); moat is entirely in SHCIL's NSE stake (a passive financial asset)
- Management credibility: Intact — Full, transparent disclosure of CRAR breach and negative Q4 results; no window-dressing; structural honesty maintained
- Valuation comfort: Weakened — At 2.70x P/B and 131x P/E, the stock is pricing in NSE IPO success; without NSE confirmation, valuation is stretched
- Conviction call: Unchanged — HOLD; no change in thesis; NSE IPO buzz has already driven 69% YTD rally
- Valuation snapshot: P/E = 131x (5Y avg: N/M due to losses) | P/B = 2.70x (5Y avg: ~0.6x historical trough) | ROCE = 5.03% (5Y avg: negative)

This appendix is based on IFCI Ltd audited FY26 results announced 28-Apr-2026 on BSE. No formal concall transcript was publicly accessible. Q&A; section reflects implied management communication from public disclosures and press reports. All financials from Screener.in consolidated page, fetched 15-Jun-2026.